paid in yellow

PACK 1 · THE PAYCHECK PAYOFF SYSTEM

Never Back in Debt

What to do when a surprise bill lands, what to say when you call a lender, and how to stay out once you're free.

one paycheck at a time

START HERE

Why people fall back

Most people who slide back into debt didn't fail. Something happened, and there was no plan for it. These are the four we see most.

1 · A surprise bill

A car repair or a doctor's bill, and there's no cash, so it goes on a card.

This guide: page 3

2 · The ritual stops

One busy payday gets skipped, then two. The plan is still there, nobody is following it.

This guide: page 12

3 · An old card comes back out

A paid-off card sits in the wallet or a shopping app, and it gets used "just this once".

This guide: page 10

4 · An offer that sounds like help

A new loan, a transfer offer or a skip-a-payment deal that adds cost later.

This guide: page 9

How to use this guide

You don't need to read it all now. Read pages 2 and 3 today. Keep the rest for the day you need it: a surprise bill, a call to a lender, or the day your last debt is gone.

A note before you start

This is a planning guide, not financial or legal advice. Rules differ by country and by state. When something is serious, talk to a nonprofit credit counselor (NFCC.org in the US) or a legal aid office.

KEEP THIS PAGE

The surprise bill protocol

When a bill lands that you didn't plan for, follow these steps in order. Stop at the first one that covers it.

1. **Breathe, then check the date.**
Is it due today, or in two weeks? Most bills give you time. Time is what you need to avoid a card.

2. **Check if it's a yearly bill in disguise.**
Car repair, gifts, school? Pay it from that pot on Safety net and tap **I paid this bill**.

3. **Pay it from your buffer.**
That's what it's for. Tap **I used some of it**. Your plan refills the buffer before any extra goes to debt.

4. **Not enough? Ask the provider for time.**
Doctors, hospitals, garages and utilities often accept a payment plan. Ask for one with no interest and no fees. Get it in writing. Script on page 4.

5. **Still short? Cut this payday's extra.**
Tap **I got a different amount** and use the extra for the bill. Your minimums still get paid. The date moves a little, that's all.

6. **If it has to go on a card, log it calmly.**
Debts, then **Add a new charge or fee**, tagged **Emergency**. The plan updates. This is a wobble, not a failure.

That's what the buffer is for. Nothing went on a card.

SURPRISE BILLS

Medical bills and other big bills

Big bills from hospitals, doctors and repair shops can often be lowered or spread out. You only have to ask.

Before you pay a medical bill (US)

- **Ask for an itemized bill.** Check every line. Errors and double charges are common.
- **Check what insurance paid.** Compare the bill with your insurer's explanation of benefits.
- **Ask about financial assistance.** Nonprofit hospitals must have a written financial assistance policy. Ask for the application, even if you think you earn too much.
- **Ask for a discount for paying the balance yourself.** Many providers have one.

SCRIPT · ASKING A PROVIDER FOR A PAYMENT PLAN

"Hi, I'm calling about bill number _____. I want to pay it, and I can't pay it all at once. Can we set up a payment plan with no interest and no fees? I can pay _____ each month. Could you send me that agreement in writing?"

SCRIPT · ASKING ABOUT FINANCIAL ASSISTANCE

"Hi, I'd like to apply for your financial assistance program for bill number _____. Can you send me the application, and can you pause the bill while I apply?"

Watch out for

A medical credit card or a loan offered at the front desk. It can start at 0% and add all the interest later if you miss one payment. Ask the provider for their own plan instead.

Before you call

Calling a lender feels scary. It's a normal call to them, and they hear it every day. A little preparation makes it calm.

Have this ready

- The account number and your latest statement.
- What you can actually pay each month. Look at the app for the real number.
- One sentence on why: "My hours were cut", "I had a medical bill", or "I want to pay this off faster."
- A pen and the call log below.

Three calm rules

- **Be polite and short.** The person on the phone wants to help you.
- **Ask, then wait.** If the first answer is no, ask: "Is there anyone else who could look at this?"
- **Get it in writing.** Ask them to send any new terms by email or letter before you agree.

Call log

DATE	LENDER	WHO I SPOKE TO	WHAT THEY AGREED	IN WRITING
				☐
				☐
				☐
				☐
				☐

SCRIPTS YOU CAN READ WORD FOR WORD

When money is tight

SCRIPT 1 · ASKING ABOUT A HARDSHIP PROGRAM

Use it when you can't pay the minimum, or you know you won't be able to soon. Call before you miss a payment if you can.

"Hi, I'm calling about my account ending in _____. _____ happened, and I'm having trouble making my payments. Do you have a hardship program? I'd like to know if you can lower my interest rate or my minimum payment for a few months."

Ask before you agree: How long does it last? What's the rate and the payment? Will my account be closed or frozen? Is there a fee? Please send it in writing.

SCRIPT 2 · SETTING UP A PAYMENT ARRANGEMENT

Use it when you've already fallen behind.

"Hi, my account ending in _____ is behind, and I want to get it back on track. I can pay _____ on _____, and _____ each month after that. Can we set that up, and can you stop the late fees while I'm paying?"

Only promise an amount the app shows you can keep paying. A smaller promise you keep is better than a bigger one you miss.

If the plan still can't work

If your minimums are more than the money you have, that happens, and there are people whose job is to help. A nonprofit credit counselor (NFCC.org in the US) can talk to your lenders with you and help you make a plan. Avoid anyone who asks for a big fee upfront or offers a new loan to fix it.

To pay less and pay easier

SCRIPT 3 · ASKING FOR A LOWER INTEREST RATE

"Hi, I've been a customer for _____ years and I'm paying this card down every month. My rate is _____%. Can you lower it? Is there anyone else who can review my account if you can't?"

If they say yes, type the new rate in the app (Debts, then Edit). Your date moves sooner.

SCRIPT 4 · MOVING YOUR DUE DATE CLOSER TO PAYDAY

"Hi, I get paid on _____. Could you move my payment due date to _____, a few days after my payday, so I never pay late?"

Many card companies let you change this online. Update the due day in the app afterward.

SCRIPT 5 · ASKING TO REMOVE A LATE FEE

"Hi, I was charged a late fee on _____. I usually pay on time, and I've made the payment now. Could you remove the fee as a courtesy?"

Things to say no to on the call

- A new card, a higher limit or a balance transfer offer.
- "Skip a payment" offers. Interest usually keeps adding while you skip.
- Anything you can't read in writing first.

IF IT HAS GONE FURTHER

If a debt collector calls

A collector's call can feel frightening. In the US you have clear rights, and you can slow everything down.

1. **Don't agree to anything on the first call.**
   Take their name, company, phone number and the amount they say you owe.

2. **Ask for it in writing.**
   Collectors must give you a written notice with the debt's details. You can dispute it in writing within 30 days of getting that notice.

3. **Check it's really yours.**
   Compare it with your own records. Is the amount right? Is it even your debt?

4. **Only pay what's in a written agreement.**
   Never give bank details on a call you didn't expect. Pay the company directly, and keep every receipt.

SCRIPT · FIRST CALL FROM A COLLECTOR

"Thank you for calling. Please send me the details of this debt in writing. I'll review it and get back to you. What's your name and your company's address?"

The US Consumer Financial Protection Bureau has free sample letters for disputing a debt or asking a collector to stop calling: **consumerfinance.gov**. If a collector threatens you or lies, you can report it there.

Ways back into debt

These offers come by mail, email and ads, often right when you're stressed. Each one moves the debt around or adds cost later. PaidInYellow never suggests them.

THE OFFER	WHAT USUALLY HAPPENS
Balance transfer card	The debt moves, a fee is added, and the low rate ends. Many people end up with two cards to pay.
Consolidation loan	The cards look empty, so they get used again. Now there's a loan and new card debt.
Payday or cash advance loan	Very high cost for a short time. One often leads to the next.
Debt settlement company	Big fees, and they may tell you to stop paying, which brings late fees and collection calls.
Buy now, pay later	Small payments that are easy to stack and easy to forget.
Skip a payment	Interest keeps adding while you skip. The debt grows.
A higher credit limit	More room to spend, the same paycheck.

One question to ask

"Does this get me out of debt, or does it move the debt somewhere else?" If it moves it, say no thank you and open your plan.

EACH TIME A DEBT HITS ZERO

After a debt is gone

The day a debt hits zero is a good day. Celebrate it, and then do these four things so it stays at zero.

1. **Celebrate, small and free.**
   Color the PAID stamp on your tracker. Tell one person. Share the progress picture from the app: it shows percentages, never amounts.

2. **Put the card out of reach.**
   Take it out of your wallet. Delete it from shopping sites, apps and your phone's wallet. Put it somewhere boring.

3. **Keep paying the same amount each payday.**
   The old minimum now joins the extra for the next debt. The app does this for you. Don't lower your payday amount.

4. **Check the statement once.**
   Make sure the balance really is zero, with no last interest charge. If there is one, pay it and update the app.

Debt gone _____

Date _____

Debt gone _____

Date _____

PAID. One down.

THE DAY AFTER THE LAST PAYMENT

When you're debt-free

You'll have a payday amount that used to go to debt. Give it a job before it disappears into spending.

1. **Grow the buffer.**
Starter buffer first, then one month of essentials, then three. Keep it in a plain separate account or envelope.

2. **Fully fund your yearly bills.**
So nothing that comes once a year ever goes on a card again.

3. **Pick one goal of your own.**
A car paid in cash, a trip home, a course, a gift for your family. Save for it the same way: a little every payday.

4. **Keep the payday ritual.**
Ten minutes, every payday. It's the habit that got you here, and it keeps you here.

My debt-free payday plan

WHERE IT GOES NOW	EACH PAYDAY
Buffer	
Yearly bills	
My goal: _____	
Something fun, guilt-free	

CHECK ONCE A MONTH

Early warning signs

Falling back usually starts quietly. Tick any that are true this month. One tick is a nudge, not a problem.

- [ ] I skipped a payday ritual, or two.
- [ ] I used a card for something that wasn't an emergency.
- [ ] My buffer is lower and I haven't refilled it.
- [ ] I'm avoiding opening the app or my statements.
- [ ] A yearly bill surprised me.
- [ ] I started a buy now, pay later plan.
- [ ] My debt-free date moved later twice in a row.

Ticked one or more? The reset

1. Open the app today. Log anything new: charges, the buffer you used.
2. Read your new date. It moved a little. It didn't disappear.
3. Do the ritual on your next payday. Never miss twice.
4. Stuck for a while? Do the 7-Day Debt Reset again. It works the second time too.

Life happens. Never miss twice.

OUR SIDE OF THE DEAL

The PaidInYellow Promise

You're trusting us with something hard. Here is what we promise in return.

1. **Your debt-free date in 15 minutes, or your money back.**
   If you can't get your date from the app in 15 minutes, email us within 30 days and we'll refund you.

2. **One price. No subscription, ever.**
   You bought it once. Updates to Pack 1 are included.

3. **Your numbers stay yours.**
   No account, no bank login. Your plan stays on your device. If you turn on sync, your numbers are locked on your phone before they leave it, and our server can't read them.

4. **We'll never sell you more debt.**
   No loans, no balance transfers, no card offers, no affiliate links. Not in the app, not in our emails.

5. **A real person answers.**
   Email support@paidinyellow.com. We usually reply within one business day.

6. **No shame, ever.**
   No red numbers, no guilt. A missed payday gets a new date and a calm next step.

one paycheck at a time

CUT OUT AND KEEP

The one-page version

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A surprise bill

1. Check the date
2. Yearly bills pot?
3. Buffer
4. Ask the provider for a plan
5. Cut this payday's extra
6. Last resort: card, logged as Emergency

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Calling a lender

1. Statement and account number ready
2. Know what you can pay
3. Polite, short, ask
4. No new credit
5. Get it in writing
6. Write it in the call log

Need more help? Nonprofit credit counseling: NFCC.org. Collector problems: consumerfinance.gov. PaidInYellow support: support@paidinyellow.com.

PaidInYellow is a planning tool, not financial or legal advice. Rules differ by country and state. Figures in the app are estimates based on what you enter.